

1: section_header
HEALTHRATE, INC.

2: section_header
CONVERTIBLE NOTE PURCHASE AGREEMENT

3: text
This Convertible Note Purchase Agreement, dated as of August 30, 2024 (this “**Agreement**”), is entered into by and among HealthRate, Inc., a Nevada corporation (the “**Company**”), and the persons and entities listed on the schedule of investors attached hereto as **Schedule I** (each an “**Investor**” and, collectively, the “**Investors**”), as such **Schedule I** may be amended in accordance with **Section 6** hereof.

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RECITALS

5: list_item
A. On the terms and subject to the conditions set forth herein, each Investor is willing to purchase from the Company, and the Company is willing to sell to such Investor, a convertible promissory note in the principal amount set forth opposite such Investor’s name on **Schedule I** hereto.

6: list_item
B. Capitalized terms used but not otherwise defined herein shall have the meaning set forth in the form of Note (as defined below) attached hereto as **Exhibit A**.

7: text
NOW THEREFORE, in consideration of the foregoing, and the representations, warranties, and conditions set forth below, the parties hereto, intending to be legally bound, hereby agree as follows:

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I. Purchase and Sale of Notes.

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(a) *Issuance of Notes.* Subject to all of the terms and conditions hereof, the Company agrees to issue and sell to each of the Investors, and each of the Investors severally agrees to purchase, a convertible promissory note in the form of **Exhibit A** hereto (each, a “**Note**” and, collectively, the “**Notes**,” and together with the Agreement, the “**Transaction Documents**”) in the principal amount set forth opposite the respective Investor’s name on **Schedule I** hereto. The obligations of the Investors to purchase Notes are several and not joint. The maximum aggregate principal amount of all Notes issued hereunder shall not exceed \$1,000,000 (the “**Maximum Amount**”).

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(b) Delivery; Additional Closings.

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(1) The initial sale and purchase of the Notes shall take place at a closing (the “**Closing**”) via remote exchange of documents and signature pages on the date hereof or at such time as the Company and the Investors may mutually agree upon (the “**Closing Date**”). At the Closing, the Company will deliver to each of the Investors the Note to be purchased by such Investor, against receipt by the Company of the corresponding purchase price set forth on **Schedule I** hereto (the “**Purchase Price**”).

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(ii) The Company may issue and sell Notes at one or more additional closings (each, an “**Additional Closing**”) to be held at such place and time as the Company may determine (each, an “**Additional Closing Date**”); provided, however, (i) such Additional Closings must occur by no later than September 1, 2025, and (ii) the aggregate principal balance of all Notes issued at the Closing and any Additional Closing shall not exceed the Maximum Amount. At each Additional Closing, the Company will deliver to each of the Investors participating in such Additional Closing the Note to be purchased by such Investor against receipt by the Company of the corresponding Purchase Price.

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(c) *Use of Proceeds.* In accordance with the direction of the Company's Board of Directors, the Company will use the proceeds of the Notes for general corporate purposes.

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2. Representations and Warranties of the Company. The Company represents and warrants to each Investor that the following representations are true and complete as of the date of the Closing Date and each Additional Closing Date:

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(a) *Due Incorporation, Qualification, etc.* The Company is a corporation duly organized, validly existing and in good standing under the laws of the State of Nevada and has all requisite power and authority to carry on its business as presently conducted. The Company is duly qualified to transact business and is in good standing in each jurisdiction in which the failure to so qualify would have a material adverse effect on its business or properties.

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(b) *Authority.* All corporate action required to be taken by the Company in order to authorize the Company to enter into this Agreement and to issue the Notes has been taken. All action on the part of the officers of the Company necessary for the execution and delivery of this Agreement and each of the Transaction Documents, the performance of all obligations of the Company under the Transaction Documents, and the issuance and delivery of the Notes has been taken prior to the Closing.

17: list_item

(c) *Enforceability.* Each Transaction Document executed, or to be executed, by the Company has been, or will be, duly executed and delivered by the Company and constitutes, or will constitute, a legal, valid, and binding obligation of the Company, enforceable against the Company in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.

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(d) *Non-Contravention.* The execution, delivery and performance of the Transaction Documents and the sale, issuance and delivery of the Notes and securities issuable upon conversion of the Notes, and the consummation of the transactions contemplated thereby, will not result in (i) any violation or be in conflict with or constitute, with or without the passage of time and giving of notice, either violation or default (A) of any provisions of the Company's Certificate of Incorporation, as amended, or bylaws of the Company, (B) of any instrument, judgment, order, writ or decree in which it is named, (C) under any note, indenture or mortgage, (D) under any lease, agreement, contract or purchase order to which it is a party or by which it is bound, or (E) of any provision of federal or state statute, rule or regulation applicable to the Company, the violation of which would have a material adverse effect on the business of the Company, or (ii) an event which results in the creation of any lien, charge or encumbrance upon any assets of the Company or the suspension, revocation, forfeiture, or nonrenewal of any material permit or license applicable to the Company.

19: list_item

(e) *Governmental Consents and Filings.* No consent, approval, order or authorization of, or registration, declaration or filing with, any federal, state, or local governmental authority is required in connection with the execution and delivery of the Transaction Documents by the Company and the performance and consummation of the transactions contemplated thereby, other than such as have been obtained and remain in full force and effect and other than such qualifications or filings under applicable securities laws as may be required in connection with the transactions contemplated by the Transaction Documents.

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(f) *Capitalization.* The authorized capital of the Company consists, as of the Closing Date, of 17,500,000 shares of Common Stock, \$0.0001 par value per share, 10,587,500 shares (“*Common Stock*”) of which are issued and outstanding. The Company has reserved 6,912,500 shares of Common Stock for issuance to employees, consultants, officers, or directors pursuant to the Company’s equity incentive plan, out of which the Company has issued options to purchase 0 shares of Common Stock that are currently outstanding, none of which have been exercised by the holders thereof. As of the Closing Date, 6,912,500 shares of Common Stock remain available for issuance under the Company’s equity incentive plan as stock options or restricted stock.

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(g) *Litigation.* There is no claim, action, suit, proceeding, arbitration, complaint, charge or investigation pending or to the Company’s knowledge, currently threatened (i) against the Company or any officer, manager or senior level employee of the Company arising out of his or her relationship with the Company as an officer, manager or senior level employee; (ii) that questions the validity of the Transaction Documents or the right of the Company to enter into them, or to consummate the transactions contemplated by them; or (iii) to the Company’s knowledge, that would reasonably be expected to have, either individually or in the aggregate, a material adverse effect on the business of the Company. There is no action, suit, proceeding or investigation by the Company pending or which the Company intends to initiate.

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(h) *Property.* The property and assets that the Company owns are free and clear of all mortgages, deeds of trust, liens, loans and encumbrances, except for statutory liens for the payment of current taxes that are not yet delinquent and encumbrances and liens that arise in the ordinary course of business and do not materially impair the Company’s ownership or use of such property or assets. With respect to the property and assets it leases, the Company is in compliance with such leases and, to its knowledge, holds a valid leasehold interest free of any liens, claims or encumbrances other than those of the lessors of such property or assets. The Company does not own any real property.

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(i) *Disclosure.* The Company has made available to the Investors all the information that the Investors have requested for deciding whether to acquire the Notes. No representation or warranty of the Company contained in any of the Transaction Documents contains any untrue statement of a material fact or omits to state a material fact necessary in order to make the statements contained herein or therein not misleading in light of the circumstances under which they were made.

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3. Representations and Warranties of Investors. Each Investor represents and warrants to the Company, severally and not jointly, upon such Investor’s purchase of a Note as follows:

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(a) *Binding Obligation.* Such Investor has full legal capacity, power, and authority to execute and deliver this Agreement and to perform its obligations under the Transaction Documents. The Transaction Documents constitute valid and binding obligations of such Investor, enforceable in accordance with their terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors’ rights generally and general principles of equity.

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(b) *Securities Law Compliance.* Such Investor has been advised that the Notes and the underlying securities have not been registered under the Securities Act or any state securities laws and, therefore, cannot be resold unless they are registered under the Securities Act and applicable state securities laws or unless an exemption from such registration requirements is available. Such Investor is aware that

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the Company is under no obligation to affect any such registration with respect to the Notes or the underlying securities or to file for or comply with any exemption from registration. Such Investor has not been formed solely for the purpose of making this investment and is purchasing the Notes to be acquired by such Investor hereunder for its own account for investment, not as a nominee or agent, and not with a view to, or for resale in connection with, the distribution thereof, and Investor has no present intention of selling, granting any participation in, or otherwise distributing the same. Such Investor has such knowledge and experience in financial and business matters that such Investor is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing such Investor's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

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(c) *Accredited Investor Status.* Such Investor is an accredited investor as such term is defined in Rule 501 of Regulation D under the Securities Act and shall submit to the Company such further assurances of such status as may be reasonably requested by the Company. The residency of the Investor (or, in the case of a partnership or corporation, such entity's principal place of business) is correctly set forth beneath such Investor's name on **Schedule I** hereto.

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(d) *No General Solicitation.* Neither such Investor, nor any of its officers, directors, employees, agents, stockholders or partners has either directly or indirectly, including through a broker or finder (i) engaged in any general solicitation, or (ii) published any advertisement in connection with the offer and sale of the Notes.

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(e) *No Disqualification Event.* Neither (i) the Investor, (ii) any of its directors, executive officers, other officers that may serve as a director or officer of any company in which it invests, general partners or managing members, nor (iii) any beneficial owner of the Company's voting equity securities (in accordance with Rule 506(d) of the Securities Act) held by the Investor is subject to any Disqualification Event, except for Disqualification Events covered by Rule 506(d)(2)(ii) or (iii) or (d)(3) under the Securities Act and disclosed reasonably in advance of the Closing or Additional Closing, as applicable, in writing and in reasonable detail to the Company.

31: list_item

(f) *Foreign Investor.* If the Investor is not a United States person (as defined by Section 4701(a)(30) of the Internal Revenue Code of 1986, as amended) and a non-resident, it hereby represents that it has satisfied itself as to the full observance of the laws of the foreign jurisdiction applicable to it in connection with any invitation to subscribe for the Notes and the underlying securities or any use of this Agreement, including (i) the legal requirements within such foreign jurisdiction for the purchase of the Notes and the underlying securities, (ii) any foreign exchange restrictions applicable to such purchase, (iii) any government or other consents that may need to be obtained, and (iv) the income tax and other tax consequences, if any, that may be relevant to the purchase, holding, redemption, sale or transfer of the Notes and underlying securities. The Company's offer and sale and the Investor's subscription and payment for and continued beneficial ownership of the Notes and the underlying securities will not violate any applicable securities or other laws applicable to the Investor.

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4. Conditions to Closing of the Investors. Each Investor's obligations at the Closing and each Additional Closing, as applicable, are subject to the fulfillment, on or prior to the Closing or the applicable Additional Closing, of all of the following conditions, any of which may be waived with respect to any Investor, in whole or in part, by such Investor:

33: list_item

(a) *Representations and Warranties.* The representations and warranties made by the Company in **Section 2** hereof shall have been true and correct when made, and shall be true and correct as of the Closing or as of the applicable Additional Closing.

34: list_item

(b) *Governmental Approvals and Filings.* Except for any notices required or permitted to be filed after the Closing Date or the applicable Additional Closing Date with certain federal and state securities commissions, the Company shall have obtained all governmental approvals required in connection with the lawful sale and issuance of the Notes.

35: list_item

(c) *Legal Requirements.* At the Closing or applicable Additional Closing, the sale and issuance by the Company, and the purchase by the applicable Investors, of the Notes shall be legally permitted by all laws and regulations to which such Investors or the Company are subject.

36: list_item

(d) *Proceedings and Documents.* All corporate and other proceedings in connection with the transactions contemplated at the Closing or the applicable Additional Closing and all documents and instruments incident to such transactions shall be reasonably satisfactory in substance and form to the Investors.

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(e) *Transaction Documents.* The Company shall have duly executed and delivered to each Investor participating in the Closing or the applicable Additional Closing this Agreement and the Note issued hereunder to such Investor.

38: list_item

5. Conditions to Obligations of the Company. The Company's obligation to issue and sell the Notes at the Closing and each Additional Closing is subject to the fulfillment, on or prior to the Closing or the applicable Additional Closing, of the following conditions, any of which may be waived in whole or in part by the Company:

39: list_item

(a) *Representations and Warranties.* The representations and warranties made by the applicable Investors in **Section 3** hereof shall be true and correct when made, and shall be true and correct as of the Closing or the applicable Additional Closing.

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(b) *Governmental Approvals and Filings.* Except for any notices required or permitted to be filed after the Closing Date or the applicable Additional Closing Date with certain federal and state securities commissions, the Company shall have obtained all governmental approvals required in connection with the lawful sale and issuance of the Notes.

41: list_item

(c) *Legal Requirements.* At the Closing or applicable Additional Closing, the sale and issuance by the Company, and the purchase by the applicable Investors, of the Notes shall be legally permitted by all laws and regulations to which such Investors are subject.

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(d) *Purchase Price.* Each Investor participating in the Closing or applicable Additional Closing shall have delivered to the Company the Purchase Price in respect of the Note being purchased by such Investor referenced in **Section 1(b)** hereof.

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D. **Miscellaneous.**

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(a) *Waivers and Amendments.* Any provision of this Agreement and the Notes may be amended, waived or modified only upon the written consent of the Company and the Requisite Investors.

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provided, that no such amendment, waiver or modification shall reduce the principal amount or rate of interest of a Note without the applicable Investor's written consent, nor shall any amendment, waiver, or modification materially and adversely treat one or more Investors in a manner that is disproportionate to such treatment of all other Investors solely with respect to their respective rights as holders of the Notes without the written consent of all Investors so disproportionately treated. Any amendment or waiver effected in accordance with this paragraph shall be binding upon all of the parties hereto. Notwithstanding the foregoing, this Agreement may be amended to add a party as an Investor hereunder in connection with any Additional Closing without the consent of any Investor, by delivery to the Company of a counterpart signature page to this Agreement, duly executed by each person purchasing a Note at such Additional Closing, together with a supplement to **Schedule I** hereto. Such amendment shall take effect at the Additional Closing and such person shall thereafter be deemed an "Investor" for all purposes hereunder and **Schedule I** hereto shall be updated by the Company to reflect the addition of such Investor.

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(b) *Governing Law.* This Agreement will be governed by the laws of the State of Delaware without regard to conflicts of laws principles that would result in the application of the laws of any other state. For the purposes of litigating any dispute that may arise directly or indirectly from this Agreement, the parties hereto hereby submit and consent to litigation in the exclusive jurisdiction of the State of Illinois and agree that any such litigation shall be conducted only in the courts of Chicago, Illinois and no other courts. The parties hereto shall not contest the jurisdiction of any such court or argue that venue is not proper therein, by reason of *forum non conveniens* or otherwise.

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(c) *Survival.* The representations, warranties, covenants, and agreements made herein shall survive the execution and delivery of this Agreement.

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(d) *Successors and Assigns.* Subject to the restrictions on transfer described in **Section 6(e)** below, the rights and obligations of the Company and the Investors hereunder and under the Investors' Notes shall be binding upon and benefit the successors, assigns, heirs, administrators, and transferees of the parties.

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(e) *Assignment.* The rights, interests or obligations hereunder may not be assigned, in whole or in part, by the Company without the prior written consent of the Requisite Investors.

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(f) *Entire Agreement.* The Transaction Documents constitute and contain the entire agreement among the Company and Investors respecting the subject matter hereof, and supersede any and all prior agreements, negotiations, correspondence, understandings, and communications among the parties, whether written or oral, respecting the subject matter hereof.

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(g) *Notices.* All notices and other communications required or permitted hereunder shall be in writing and shall be mailed by registered or certified mail, postage prepaid, sent by electronic mail (if to an Investor or any other holder of Company securities) or otherwise delivered by hand, messenger or courier service addressed:

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(1) if to an Investor, to the Investor's address or electronic mail address as shown in the Company's records, as may be updated in accordance with the provisions hereof, and in the case of First Trust Capital Partners, LLC, an Illinois limited liability company ("**FTCP**")

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with a copy (which shall not constitute notice) to Robert Criswell, Chapman and Cutler LLP, 320 South Canal St., Chicago, IL 60606.

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(ii) if to any other holder of any Notes or shares issuable upon conversion thereof, to such address or electronic mail address as shown in the Company's records, or, until any such holder so furnishes an address or electronic mail address to the Company, then to the address or electronic mail address of the last holder of such Notes or shares issuable upon conversion thereof for which the Company has contact information in its records; or if to the Company, to the attention of the Chief Executive Officer of the Company at the address listed on the Company's signature page hereto, or at such other current address as the Company shall have furnished to the Investors, with a copy (which shall not constitute notice) to [____]. Each such notice or other communication shall for all purposes of this Agreement be treated as effective or having been given (i) if delivered by hand, messenger or courier service, when delivered (or if sent via a nationally-recognized overnight courier service, freight prepaid, specifying next-business-day delivery, one business day after deposit with the courier), or (ii) if sent via mail, at the earlier of its receipt or five days after the same has been deposited in a regularly-maintained receptacle for the deposit of the United States mail, addressed and mailed as aforesaid, or (iii) if sent via electronic mail, upon confirmation of delivery when directed to the relevant electronic mail address, if sent during normal business hours of the recipient, or if not sent during normal business hours of the recipient, then on the recipient's next business day. In the event of any conflict between the Company's books and records and this Agreement or any notice delivered hereunder, the Company's books and records will control absent fraud or error.

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(h) *Expenses.* The Company shall pay on demand all reasonable fees and expenses of FTCP, including reasonable attorneys' fees and expenses in connection with the preparation, execution and delivery of this Agreement and the other Transaction Documents, not to exceed \$10,000.

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(i) *Separability of Agreements; Severability of this Agreement.* The Company's agreement with each of the Investors is a separate agreement and the sale of the Notes to each of the Investors is a separate sale. Unless otherwise expressly provided herein, the rights of each Investor hereunder are several rights, not rights jointly held with any of the other Investors. Any invalidity, illegality, or limitation on the enforceability of the Agreement or any part thereof, by any Investor whether arising by reason of the law of the respective Investor's domicile or otherwise, shall in no way affect or impair the validity, legality, or enforceability of this Agreement with respect to other Investors. If any provision of this Agreement shall be judicially determined to be invalid, illegal, or unenforceable, the validity, legality and enforceability of the remaining provisions shall not in any way be affected or impaired thereby.

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(j) *Counterparts.* This Agreement may be executed in one or more counterparts, each of which will be deemed an original, but all of which together will constitute one and the same agreement. Electronic copies of signed signature pages of this Agreement will be deemed binding originals.

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Signature Page Follows

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IN WITNESS WHEREOF, each of Maker and Holder has executed and delivered this Note as of the Effective Date.

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MAKER:

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HealthRate, Inc.

62: text

63: text

Tim Michaels

Tim Michaels, Chief Executive
Officer

64: text

Address: 734 Oriole Lane
Hudson, WI 54016
Attention: Tim Michaels
Email: tim@healthrate.io

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HOLDER:

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First Trust Capital Partners, LLC

67: text

68: text

James A. Bowen, Chairman

69: text

Address: 120 East Liberty Drive, Suite 400
Wheaton, IL 60187
Attention: Jonathan Phillips
Email: jonphillips@ftcapitalpartners.com

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SCHEDULE I

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SCHEDULE OF INVESTORS

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Investor Name and Address	Principal Amount of Notes
First Trust Capital Partners, LLC 120 East Liberty Drive, Suite 400 Wheaton, IL 60198 Attention: jonphillips@ftcapitalpartners.com Email: jonphillips@ftcapitalpartners.com	\$1,000,000 to be tranced as follows: Note 1: \$500,000 (to be sold at the Closing) Note 2: \$250,000 (to be sold at an Additional Closing on a date mutually agreed upon by FTCP and the Company, but if requested by the Company no later than March 1, 2025) Note 3: \$250,000 (to be sold at an Additional Closing on a date mutually agreed upon by FTCP and the Company, but if requested by the Company no later than September 1, 2025)
TOTAL:	\$1,000,000.00

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EXHIBIT A

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FORM OF CONVERTIBLE NOTE